Indian sentiment and strong Chinese competition detrimental to its strategic space and vital national interests.

India's "neighbourhood first" is working comparatively smoothly in Sri Lanka and Bangladesh, albeit not without difficulties. India has succeeded in getting its security concerns addressed, at least partially, in Sri Lanka's two mega infrastructure projects with China, namely Hambantota Port and Colombo Port City. To balance China's growing economic presence in Sri Lanka, India has advanced its claims to developing the important projects of the Trincomalee Port on Sri Lanka's eastern seaboard and upgrading the Eastern Container Terminal in Colombo port, as well as Mattala airport in the South near Hambantota. The emotionally sensitive issues of the activities of Indian fishermen in the Palk Strait and the economically important Economic and Technical Cooperation Agreement (ECTA) – a revised proposal of Comprehensive Economic Cooperation Partnership (CECA) – continue to evade resolution. The ethnic question in Sri Lanka between the Tamils and Sinhalese that bedevilled India–Sri Lanka relations for a long time will only be settled if and when Sri Lanka succeeds in concluding its much-promised constitutional process to the satisfaction of the Tamils.

India and Bangladesh have made significant progress in resolving many of the old pending issues and institutionalising cooperation in the areas of trade and transit, counter-insurgency and counter-terrorism, border management and connectivity, and so on. The resolution of the land and maritime boundary issues, as well as the adoption of a coordinated approach towards counter-insurgency, has indeed injected greater mutual trust and confidence in bilateral relations. India is supplying power to Bangladesh, and Bangladesh is open to addressing India's transit problem to its northeastern region through Bangladesh. However, the water sharing issue continues to